THE INTERESTS IN BRAG & BEV, LLC HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, OR UNDER ANY STATE SECURITIES LAW AND MAY NOT BE SOLD, TRANSFERRED OR ASSIGNED UNLESS SUBSEQUENTLY REGISTERED UNDER SUCH ACT OR LAWS OR UNLESS AN EXEMPTION FROM REGISTRATION IS AVAILABLE. ARTICLE VII OF THIS AGREEMENT FURTHER RESTRICTS TRANSFERABILITY OF INTERESTS IN THE COMPANY.

Operating Agreement

for

BRAG & BEV, LLC

June 12, 2025

Prepared by:
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THE INTERESTS IN BRAG & BEV, LLC HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, OR UNDER ANY STATE SECURITIES LAW AND MAY NOT BE SOLD, TRANSFERRED OR ASSIGNED UNLESS SUBSEQUENTLY REGISTERED UNDER SUCH ACT OR LAWS OR UNLESS AN EXEMPTION FROM REGISTRATION IS AVAILABLE. ARTICLE VII OF THIS AGREEMENT FURTHER RESTRICTS TRANSFERABILITY OF INTERESTS IN THE COMPANY.

Operating Agreement for BRAG & BEV, LLC

BRAG & BEV, LLC, a Michigan limited liability company (the "Company"), and all those who execute this Operating Agreement or a counterpart of it (the "Agreement") as a Member or Manager, or who hereafter become a Member or Manager hereunder or otherwise acquire or claim any interest in the Company as a Member or Manager, enter into this Agreement effective as of June 12, 2025.

ARTICLE I. DEFINITIONS

The terms set forth in Exhibit A as used in this Agreement shall, unless the context otherwise requires, have the meanings specified in Exhibit A.

ARTICLE II. FORMATION

2.1 Formation. By executing this Agreement, the parties agree that the Company has been or will be formed pursuant to the provisions of the Michigan Limited Liability Company Act ("Act"). The rights and liabilities of the Company and the Members shall be as provided in the Act except as provided in this Agreement.

2.2 Name, Location, Etc. The name of the Company is "BRAG & BEV, LLC," and such name may be changed only by the Manager or by a Super Majority in Interest of the Members. The Company's business may be conducted under that name or such other name(s) as the Manager shall determine from time to time. The location of the principal place of business of the Company and registered office and resident agent shall be as the Manager may determine from time to time. Notification of any change in the Company's place of business, registered office, or resident agent shall be given to the Members.

2.3 Character of Business and Purposes. The business and purposes of the Company shall be to develop for commercial production and sale a patented self-righting automatic dumpster cleaning device and any improvements, variations, extensions or related products (collectively, the "Device") along with researching, developing, and commercializing any additional products, services, or business opportunities based on or in any way related to the Device or technology or information learned or developed by the Company, including prototypes, data, know-how, drawings, blueprints, specifications, engineering, technical and cost data, design information, testing and quality control procedures, operating techniques, formulae, patterns, proposals, devices, software, pricing information and compilations of other related information, records and specifications (collectively, the "Primary Business"). The Company may also engage in such other lawful activities as may be determined by a Super Majority in Interest of the Members from time to time.

2.4 **Term**. The Company's term shall commence as of the date of the filing of its Articles of Organization and shall continue indefinitely thereafter, unless dissolved pursuant to the Act or this Agreement.

2.5 **Partnership Classification**.

(a) The Members intend that the Company shall be operated in a manner consistent with its treatment as a "partnership" for federal and state income tax purposes. No Member or Manager shall take any action inconsistent with such intent, and the Members and Manager agree to make any amendments hereto required (in the opinion of counsel for the Company) to obtain or maintain partnership classification for tax purposes from time to time.

(b) Notwithstanding the foregoing, the Members and Manager have formed the Company as a limited liability company under the Act and specifically intend and agree that the Company not be construed as a partnership (including a limited partnership) or any other venture for purposes other than tax matters. No Member or Manager shall be construed to be a partner in the Company or a partner of any other Member or Manager or Person for purposes other than tax matters solely as a result of the Articles of Organization, this Agreement and the relationships created thereby and arising therefrom.

ARTICLE III. MEMBERS AND CAPITAL

3.1 **Members and Capital Commitments**. The Members are those persons indicated on Exhibit B, each of whom has made, or agrees to make, at the times indicated on Exhibit B, the Capital Contributions shown opposite its name on Exhibit B in exchange for the Company Units therein indicated. No Member shall be obligated to make any additional contribution to the Company's capital unless such Member otherwise agrees.

3.2 **Capital Accounts**. A separate Capital Account shall be maintained for each Member. The Capital Account balance for each Member shall be increased by the amount of money and the fair market value of property contributed by such Member to the Company's capital, and by that Member's share of Company net income and gain, and decreased by distributions of cash or property (at fair market value) to that Member, and that Member's share of Company net loss and deductions. Such other adjustments to Capital Accounts shall be made as required by the rules set forth in Regulation Section 1.704-1(b)(2)(iv).

3.3 Company Capital. No Member shall be paid interest on any Capital Contribution nor have the right to withdraw, or receive any return of, such Member's Capital Contribution, except as may be specifically provided in this Agreement. Under circumstances requiring a return of any Capital Contribution, no Member shall have the right to receive property other than cash except as may be specifically provided in this Agreement.

3.4 Liability of Members.

(a) No Member shall be liable for the debts, liabilities, contracts or any other obligations of the Company. A Member shall be liable only to make payment for the amounts required to be contributed to the Company's capital as expressly required hereunder. No Member with a negative balance in his Capital Account, whether by virtue of distributions of Disbursable Cash or by allocations of loss or deduction, shall have any obligation to the Company or the other Members to restore a negative Capital Account.

(b) For purposes of this Section, it is the intent of the Members that no distribution (or any part of any distribution) made to any Member pursuant to Article IV of this Agreement be deemed a return or withdrawal of capital, even if the distribution represents (in full or in part) a distribution of depreciation or any other non-cash item accounted for as a loss or deduction from or offset to the Company's income, and that no Member shall be obligated to pay any such amount to or for the account of the Company or any creditor of the Company. However, if any court of competent jurisdiction holds that, notwithstanding the provisions of this Agreement, any Member is obligated to make any such payment, that obligation shall be the obligation of such Member and not of the other Members or Manager, and such Member shall return any such distribution to the Company.

(c) Except as set forth in Section 3.4(d) below, if any Member fails to make a Capital Contribution when required, the Company may, in addition to the other rights and remedies the Company may have under the Act or applicable law, take such enforcement action (including the commencement and prosecution of court proceedings to collect the Capital Contribution committed to) against such Member as the Manager considers appropriate, including diluting the interest in the Company of the defaulting Member and increasing the interests of the remaining Members to take into account the disproportionate Capital Contribution in such manner as the Members determine appropriate. Alternatively, the remaining Members may elect to contribute the amount of such required capital themselves according to their respective Company Interests or in such other proportions as they, by Super Majority in Interest, deem appropriate. In such an event, the remaining Members shall be entitled to treat such amounts as an extension of credit to such defaulting Member, payable upon demand, with interest accruing thereon at the rate of ten percent (10%) per annum (or such lesser rate as the remaining Members, acting by Super Majority in Interest, shall agree) until paid, all of which shall be secured by such defaulting Member's interest in the Company, and any payments with respect to which shall be applied first to interest with the balance to principal, until such amounts have been paid in full. Each Member who may hereafter default hereby grants to each Member who may hereafter grant such an extension of credit a security interest in such defaulting Member's interest in the Company and further agrees to sign such documents as may be reasonably requested in order to perfect the security interest so granted, and further agrees that any person granting such an extension of credit shall be entitled (in proportion to such person's grant of the extension of credit as it relates to such grants from all persons extending credit) to receive any and all distributions made or to be made by the Company with respect to such defaulting Member's Company Interest, until such extensions of credit have been repaid in full with interest as provided herein. Each Member who may hereafter default hereby grants to each Member who may hereafter grant such an extension of credit a power of attorney, which is hereby deemed to be coupled with an interest and shall be irrevocable, authorizing the agent to, on behalf of such defaulting Member, execute any reasonable security agreements and UCC-1 forms and to file same or take such further action as may be deemed necessary or appropriate to protect the interest of the Members extending credit pursuant to this paragraph.

(d) Notwithstanding the provisions set forth in Section 3.4(c), if John F. Braganini as Trustee of the John F. Braganini Trust ("JB") fails to make all of the loans as required by footnote 2 of Exhibit B of this Agreement, the sole remedy of the Company, the Manager, and the other Members shall be to redeem and repurchase the Company Interests of JB, The Sarah J. Braganini Trust, and The Apollo Braganini II Trust for the collective price of $1.00, it being understood that the Company shall remain liable to repay any such loans that were made by JB prior to the Company redeeming and repurchasing such Company Interests.

ARTICLE IV. DISTRIBUTIONS AND ALLOCATIONS

4.1 **Distributions Generally**.

(a) Subject to the provisions of the Act and this Agreement, all Disbursable Cash shall be distributed to the Members at such time(s) as the Manager shall determine in proportion to the respective Company Interests of the Members.

(b) Subject to the provisions of the Act and this Agreement, the Manager shall use its best efforts to cause the Company to distribute to each Member, no later than 75 days after any taxable year of the Company, an amount of cash at least equal to (1) 45 percent times the amount of taxable income allocated to such Member for such taxable year, minus (2) the amount of any cash previously distributed to such Member with respect to the Company's income for such taxable year.

(c) Notwithstanding anything to the contrary, no distribution shall be declared or made if, after giving it effect, the Company would not be able to pay its debts as they become due in the usual course of business or the Company's total assets would be less than the sum of its total liabilities plus the amount that would be needed to satisfy the preferential rights, if any, of other Members upon dissolution that are superior to the rights of the Member or Members receiving the distribution. Except as otherwise provided in this Agreement, no Member shall have priority over any other Member either as to the return of capital or as to profits, losses, or distributions.

4.2 **Liquidating Distributions**. Subject to the provisions of the Act and this Agreement, the net cash proceeds of a sale, exchange or other disposition of all or substantially all of the Company's Property constituting a dissolution of the Company shall be applied as follows:

(a) To the payment of debts and liabilities of the Company to creditors in the order of priority provided by law, including any creditor who is a Member or a former Member (other than in respect of his interest in the Company) and the expenses of liquidation;

(b) To the establishment of any reserves that the Manager may deem reasonably necessary for any contingent or unforeseen liabilities or obligations of the Company arising out of or in connection with the Company; and

(c) Then to the Members to the extent of any positive balances in their Capital Accounts.

4.3 **__Allocations of Net Loss__**. Except as provided in Section 4.5 and 4.6, all net losses shall be allocated to and among the Members in accordance with their respective Company Interests.

4.4 **__Allocations of Net Income and Gain__**. Except as provided in Sections 4.5 and 4.6, net income and gain shall be allocated to and among the Members in accordance with their respective Company Interests.

4.5 **__Special Allocations__**.

(a) Nonrecourse deductions (as described in Regulation Section 1.704-2(c)) shall be separately allocated to and among the Members in proportion to their respective Company Units. Member Nonrecourse Deductions shall be specially allocated, in accordance with the Regulations, to the Member or Members who bear the economic risk of loss for the Member Nonrecourse Debt to which such deductions are attributable.

(b) Except as provided in subsection 4.5(c), if a Member receives an adjustment, allocation or distribution described in Regulation Section 1.704-1(b)(2)(ii)(d)(4), (5) or (6) which has not otherwise been taken into account in determining such Member's Adjusted Capital Account Deficit, if any, such Member shall be specially allocated items of Company income and gain in an amount and manner sufficient to eliminate the Adjusted Capital Account Deficit of such Member as quickly as possible, to the extent required by Regulations under Section 704(b). This subsection is intended to constitute a Qualified Income Offset under the Regulations and shall be interpreted consistently therewith.

(c) Notwithstanding anything to the contrary in this Article IV:

(1) If during any Company fiscal year there is a net decrease in Company "Minimum Gain," as described in Regulation Section 1.704-2(b)(2) (with the word "Company" replacing "partnership" therein), each Member shall be specially allocated items of Company income and gain for such year (and, if necessary, subsequent years) in an amount equal to the portion of such Member's share of the net decrease in Company Minimum Gain for

the year as determined in accordance with Regulation Section 1.704-2(g)(2). The items to be so allocated shall be determined in accordance with Regulation Section 1.704-2(f). This Section 4.5(c) is intended to comply with the minimum gain charge back provisions of Regulations under Section 704 and shall be interpreted consistently therewith.

(2) If there is a net decrease during a fiscal year in the Member Minimum Gain attributable to a Member Nonrecourse Debt, then each Member with a share of the Member Minimum Gain attributable to such debt, determined in accordance with Regulations Section 1.704-2(i)(5), shall be specially allocated items of income and gain for such year (and, if necessary, subsequent years) in an amount equal to such Member's share of the net decrease in the Member Minimum Gain attributable to such Member Nonrecourse Debt, determined in accordance with Regulations Section 1.704-2(i)(4). Allocations pursuant to the preceding sentence shall be made among the Members in proportion to the respective amounts to be allocated to each of them pursuant to such Regulation. Any special allocation of items of income and gain pursuant to this Section 4.5 shall be made before any other allocation of items under this Section 4.5(c)(2), except only for special allocations required under the immediately preceding Section 4.5(c)(1). The items to be so allocated shall be determined in accordance with Regulations Section 1.704-2(i)(4). This Section 4.5(c)(2) is intended to comply with the provisions of Regulations Section 1.704-2(i)(4) and shall be interpreted consistently therewith.

(d) In making the allocation among the Members of gain or profit, the ordinary income portion, if any, of such gain or profit caused by the recapture of cost recovery or any other deduction shall be allocated among those Members who were previously allocated the cost recovery or any other deductions in proportion to the amount of such deductions previously allocated to them. It is intended that the Members shall bear the burden of recapture caused by cost recovery or other deductions that were previously allocated to them, in proportion to the amount of such deductions that have been allocated to them, notwithstanding that a Member's share of profits, losses or liabilities may increase or decrease from time to time. Nothing in this subsection 4.5(d), however, shall cause the Members to be allocated more or less gain or profit than would otherwise be allocated to them pursuant to this Article IV.

(e) Any special allocation of the items of income or gain pursuant to this Section 4.5 shall be taken into account in computing subsequent allocations of profit or gain pursuant to this Article IV, so that the net amount of any item so allocated and the profit, gain, loss and any other item allocated to each Member pursuant to this Article IV shall, to the extent possible, be equal to the net amount that would have been allocated to each such Member pursuant to the provisions of this Article IV if such special allocations had not occurred.

(f) To the extent an adjustment to the adjusted tax basis of any Company asset under Code Section 734(b) or 743(b) is required to be taken into account in determining Capital Accounts pursuant to Regulations Section 1.704-1(b)(2)(iv)(m), the amount of such adjustment to the Capital Accounts shall be treated as an item of gain (if the adjustment increases the basis of the asset) or loss (if the adjustment decreases such basis), and such gain or loss shall be specially allocated to the Members in a manner consistent with the manner in which their Capital Accounts are required to be adjusted pursuant to such section of the Regulations.

4.6 Manager's Discretionary Powers.

(a) The allocation method set forth in this Article IV is intended to allocate profits and losses to the Members for federal income tax purposes in accordance with their economic interests in the Company and to comply with Code Section 704(b) and Regulations promulgated thereunder. If, in the opinion of the Manager, the allocation of profits or losses pursuant to the preceding provisions of this Article IV shall not satisfy the Code or the Regulations or properly take into account any expenditure made by the Company or transfer of a Company Interest, then, notwithstanding anything to the contrary contained in this Article IV, profits and losses shall be allocated in such manner as the Manager in his sole and unrestricted discretion determines to be required so as to comply with the Code or the Regulations or to properly take into account any expenditure made by the Company to transfer a Company Interest, as the case may be. The Manager shall have a right to amend this Agreement without action by the Members to reflect any such change in the method of allocating profits and losses; provided, however, that any change in the method of allocating profits or losses shall not materially alter the economic agreement among the Members.

(b) If there is any change in Company Interest during a fiscal year, then for purposes of this Article IV, the Manager shall take into account the requirements of Code Section 706(d) and shall have the right to select any method of determining the varying interest of the Members during the year which satisfies Code Section 706(d).

(c) In accordance with Code Section 704(c) and the Regulations issued thereunder, income, gain, loss, and deductions with respect to any property contributed to the Company shall be allocated among the Members so as to take account of any variation between the adjusted basis of such property to the Company for federal income tax purposes and its fair market value at the time of its contribution to the Company. If the value of any Company asset is adjusted pursuant to Regulations Section 1.704-1(b)(2)(iv)(f) and (g), subsequent allocations of income, gain, loss, and deductions with respect to such asset shall take account of any variation between the adjusted basis of such asset for federal income tax purposes and its fair market value in the same manner as under Code Section 704(c) and the Regulations issued thereunder. Any elections or other decisions relating to such allocations shall be made by the Manager in any manner permitted by Regulations Section 1.704-3(b), (c), and (d) (including the "traditional method," the "traditional method with curative allocations," and the "remedial allocation method" as described therein).

4.7 Determination of Allocations and Distributions Among Members.

(a) Except as provided in Sections 4.7(b), and 4.7(c), all allocations and distributions to which the Members are entitled shall be distributed or allocated to each Member entitled to the distribution or allocation in the ratio in which the Company Units of the Member corresponds to the total Company Units of all Members entitled to the distribution or allocation.

(b) Distributions and allocations shall be made, as the case may be, to the Persons recognized by the Company as the holders of Company Units on the day on which the allocation or distribution is made by the Company.

(c) All net profits or net losses for a fiscal year allocable to any Company Interest that may have been transferred during the fiscal year or acquired on any date after the first day of the Company's fiscal year shall be allocated pro rata among the Persons who were Members during such Company taxable year as of the first day of the month in which the transfer was recognized in accordance with this Agreement without regard to the results of Company operations during the fiscal year and without regard to the timing or amount of cash distributions which were made during the taxable year.

(d) Except as provided elsewhere in this Agreement, whenever a proportionate part of net income, net loss or other income or loss is allocated to a Member, every item of income, gain, loss or deduction entering into the computation of such net income, net loss or other income or loss shall be considered allocated, and every item of credit, tax preference, or recapture related to such net income, net loss or other income or loss and applicable to the period when such net income, net loss or other income or loss was realized shall be allocated to the Member in the same proportions.

(e) Distributions and allocations for any portion of the Company's fiscal year prior to the admission of Members shall be determined by an interim closing of the Company's accounting records as of the first day of the month in which the admission occurs if Members are admitted into the Company during the first 15 days of the month and as of the 16th day of the month in which admission occurs if Members are admitted into the Company after the 15th day of the month in which admission occurs.

ARTICLE V. MANAGER RIGHTS, POWERS AND DUTIES

5.1 Management and Control of the Company.

(a) Subject to any contrary provisions in the Act or this Agreement, the Manager shall have the exclusive right to manage the business of the Company and is hereby authorized to take any action of any kind and to do anything and everything he deems necessary to carry out the purposes of the Company set forth in Section 2.3.

(b) No Member (except one who may also be a Manager, and then only in his capacity as Manager within the scope of his authority under this Agreement) shall participate in or have any control over the Company business or shall have any authority or right to act for or bind the Company, except as otherwise expressly provided in the Act or this Agreement.

(c) The Company shall be responsible for paying all direct costs and expenses of organizing and operating the Company's business, including without limitation, debt service, insurance premiums, taxes, legal expenses and fees, accounting fees, and all other fees, costs and expenses.

(d) The Manager is hereby authorized to establish Reserves.

5.2 Authority of the Manager.

(a) Except to the extent otherwise provided in this Agreement, the Manager, on behalf of the Company, is hereby authorized to:

(1) execute any license agreement or other agreement related to the Device;

(2) make all strategic decisions with respect to the purposes of the Company and enter into any agreement or make any filings in connection therewith, including filings with the U.S. Patent and Trademark Office;

(3) acquire by purchase, lease, exchange or otherwise any real or personal property that may be necessary, convenient or incidental to the accomplishment of the purposes of the Company;

(4) design, construct, operate, maintain, finance, improve, own, grant options with respect to, sell, convey, assign, mortgage, exchange or lease and cause to have constructed any real estate and any personal property necessary, convenient or incidental to the accomplishment of the purposes of the Company;

(5) execute any and all agreements, contracts, documents, certifications and instruments necessary or convenient in connection with the management, maintenance and operation of the Company's business;

(6) borrow money and issue evidences of indebtedness (including from or to any Member) necessary, convenient or incidental to the accomplishment of the purposes of the Company, and to secure the same by mortgage, pledge or other lien on assets of the Company;

(7) execute, in furtherance of any or all of the purposes of the Company, any deed, lease, mortgage, mortgage note, bill of sale, contract or other instrument conveying, exchanging or encumbering the real or personal property of the Company;

(8) prepay in whole or in part, refinance, re-cast, increase, modify or extend any mortgages or other indebtedness of the Company and in connection therewith to execute any extensions or renewals of such indebtedness;

(9) care for and distribute funds to the Members by way of cash, income, return of capital, or otherwise, all in accordance with the provisions of this Agreement, and perform all matters in furtherance of the objectives of the Company or this Agreement;

(10) contract on behalf of the Company for the employment and services of employees and/or independent contractors, including lawyers and accountants;

(11) make any and all elections for federal, state, and local tax purposes, including any election, if permitted by applicable law: (1) to adjust the basis of

property pursuant to Code sections 734(b), 743(b), and/or 754, or comparable provisions of state or local law, or any corresponding provisions of future tax laws, in connection with transfers of Company Interests and Company distributions; and (2) to extend the statute of limitations for assessment of tax deficiencies before taxing authorities or courts of competent jurisdiction in tax matters affecting the Company;

(12) take or refrain from taking all actions not expressly proscribed or limited by this Agreement, as may be necessary or appropriate to accomplish the purposes of the Company;

(13) initiate, defend or settle any litigation, arbitration, mediation or similar legal or administrative proceedings;

(14) deal with, or otherwise engage in business with, or provide services to and receive compensation therefor from, any Person who has provided or may in the future provide any services to, lend money to, sell property to, or purchase property from, any Manager or any Affiliate of a Manager; and/or

(15) engage in any kind of activity and perform and carry out contracts of any kind necessary to, or in connection with, or incidental to the accomplishment of the purposes of the Company, as may be lawfully carried on or performed.

(b) Any Person dealing with the Company or any Manager may rely (without further duty of inquiry) upon a certificate signed by any Manager as to:

(1) the identity of any Manager or any Member;

(2) the existence or nonexistence of any fact or facts which constitutes a condition precedent to acts by any Manager or which are in any other manner germane to the affairs of the Company;

(3) the Persons who are authorized to execute and deliver any instrument or document of the Company; or

(4) any act or failure to act by the Company or as to any other matter whatsoever involving the Company or any Member.

5.3 <u>Restrictions on Authority of Manager</u>. Without the Consent of a Super Majority in Interest of the Members, no Manager shall have the authority to do any of the following for or on behalf of the Company:

(a) sell or otherwise dispose of at one time all or substantially all the assets of the Company;

(b) do any act in contravention of this Agreement;

(c) confess a judgment against the Company;

(d) possess or assign rights in Company property for other than a Company purpose; or

(e) elect to dissolve the Company.

5.4 Duties and Obligations of the Manager.

(a) The Manager shall take all action that may be necessary or appropriate (i) for the continuation of the Company's valid existence as a limited liability Company under the laws of Michigan and its qualification to do business in Michigan, and (ii) for the operation and promotion of the Company's business in accordance with the provisions of this Agreement.

(b) The Manager shall devote to the Company such time as may be necessary for the proper performance of its duties under this Agreement, but shall not be expected to devote full time to the performance of those duties.

(c) The Manager shall be under a fiduciary duty to conduct the affairs of the Company in the best interest of the Company and of the Members, including the safekeeping and use of all of the Property and the use thereof for the exclusive benefit of the Company.

(d) The Manager shall act as the "Partnership Representative" under the Code and in any similar capacity under state or local law.

5.5 Other Business.

(a) Except as restricted in Section 5.5(b): any Member or Manager may engage independently or with others in other business ventures of every nature and description; and nothing in this Agreement shall be deemed to prohibit the Manager or any Affiliate of the Manager from dealing, or otherwise engaging in business, with Persons transacting business with the Company or from providing services to the Company and receiving compensation therefor.

(b) Each Member and Manager of the Company agrees that at all times that it is a Member or Manager and for a period of two (2) years thereafter (the "Restricted Period"), such Member or Manager will not, as an individual for its own account, as a partner, joint venturer, employee, agent, or salesman for any person, or as an officer, director, member, manager or stockholder of a corporation, limited liability company, or other entity, or otherwise, directly or indirectly:

(1) enter into or engage in the operation or assistance of any business that is competitive with the Company’s Primary Business ("Competing Business"), anywhere in the world.

(2) solicit or attempt to solicit any of the Company's customers with the intent or purpose to provide to such customer products or services previously or then provided to such customers by the Company;

(3) employ or solicit, or attempt to employ or solicit, for itself or for any third party, the employment of any of the Company's employees;

(4) induce or attempt to induce any supplier, employee, consultant, or agent of the Company to discontinue services to the Company; or

(5) take any other action intended, directly or indirectly, to impair the goodwill or business reputation of the Company or to be otherwise detrimental to the interests of the Company, including any action intended, directly or indirectly, to benefit a competitor of the Company, such as assisting any person to start-up, develop, purchase, or sell a Competing Business.

(c) Each Member and Manager of the Company understands that it has received or may receive from the Company or otherwise become aware of information regarding the Device or the Company which is non-public, confidential or proprietary in nature, including without limitation proprietary know-how, technology, financial data, market data, customer lists, supplier lists, costing information, product development information, financial statements and results, tax returns, business plans and projections, and similar information and data, whether held in written, computer data, oral, or other form ("Confidential Information"), and each Member and Manager agrees that at all times following the date of this Agreement such Member or Manager (1) will keep the Confidential Information confidential and will not, without the prior written consent of the Manager, disclose such Confidential Information to others, other than in furtherance of the Company's Primary Business and with the approval of the Manager, and (2) will not use the Confidential Information in connection with a Competing Business, or in a manner that would otherwise violate the restrictive covenants set forth in Section 5.5(b), or for any other purpose other than in furtherance of the Company's Primary Business and with the approval of the Manager.

(d) In the event of the breach by a Member or Manager of any of the terms or conditions of this Section 5.5, the Company shall be entitled, if it so elects by action of the Manager, to institute and prosecute proceedings in any court of competent jurisdiction, either at law or in equity, to (i) obtain damages for any such breach, (ii) enforce the specific performance hereof, (iii) obtain disgorgement of profit, or (iv) enjoin the Manager or Member from performing acts prohibited above during the period covered, provided that nothing in this Agreement shall be construed to prevent such other remedy in the courts or otherwise as the Company may elect to invoke. The undersigned agrees to pay all reasonable costs and expenses, including reasonable attorney's fees, incurred by the Company in enforcing the terms of this Section 5.5. The length of the Restricted Period will be extended by any period of breach by the Member or Manager.

(e) The terms of this Section 5.5 are intended to constitute a valid, legally binding, and enforceable agreement in each and every respect. If any provision of this Section

5.5 is found by a court or other tribunal to be unenforceable or invalid (including a finding of enforceability or invalidity because of the scope of the geographic area, the definition of a Competing Business, or the length of the term of this Agreement), the Members, Manager, and Company intend that this Agreement be modified and enforced to the maximum extent allowable by law.

5.6 Manager Compensation and Reimbursement.

(a) No Manager in the capacity of Manager shall receive any salary, fees, profits or distributions, except as otherwise specifically provided for in this Agreement or as may be set forth in a separate written agreement approved in writing by a Super Majority in Interest of the Members.

(b) Without limitation upon the other powers set forth in this Agreement, and in addition to any Manager's interest in the Company, the Company is expressly authorized to reimburse any Manager or its Affiliate for past and future costs, expenses, legal fees, accounting fees, and office, clerical and administrative expenses and similar outlays made and incurred by any Manager on behalf of and for the benefit of the Company.

5.7 Limitation on Liability of Manager; Indemnification. The Manager shall not be liable, responsible or accountable in damages or otherwise to any of the Members for any act or omission performed or omitted by it in good faith provided that the Manager was not guilty of fraud, bad faith or gross negligence. The Company shall indemnify and save harmless the Manager and its Affiliates, agents and assigns against any loss or damage, including costs and actual attorneys' fees (which fees may be paid as incurred) and any amounts expended in settlement of such claims or liability, loss or damage incurred by such Person on behalf of the Company or in furtherance of the Company's interests arising out of any act or failure to act by such Manager or other Person, if such act or failure to act is in good faith and is not attributable to gross negligence, fraud or bad faith. The satisfaction of any indemnification and any saving harmless shall be from and limited to Company assets, and no Member or Manager shall have any personal liability on account thereof.

ARTICLE VI. MANAGER WITHDRAWALS AND CHANGES

6.1 Withdrawal of Manager. Any Manager may, at any time, resign as Manager and retain its status, if any, as a Member. If a withdrawal or resignation would leave the Company with no Manager, a Super Majority in Interest of the remaining Members shall designate a successor Manager with such interest in the Company, if any, as such majority and such successor shall mutually agree.

6.2 Admission of Successor or Additional Managers. The Members may, upon the Consent of a Super Majority in Interest of the Members, at any time designate one or more successor or additional Managers. Each such designee shall become an additional Manager upon compliance with Section 11.1 of this Agreement. A Person who is a Member may, if so appointed hereunder, be a Manager; but it is not required that a Person who is a Manager also be a Member.

6.3 **Removal of Manager**. Any Manager may be removed at any time, with or without cause, and with or without notice, by a Consent of a Super Majority in Interest of the Members.

6.4 **Vacancies**. If any Manager resigns or is removed and there is then no longer any Manager designated under this Agreement, then the Members shall appoint a successor Manager by Consent of a Super Majority in Interest of the Members.

6.5 **Multiple Managers**. At any time(s) when there is more than one Manager, they shall act jointly and cooperatively and by majority vote of the Managers in making decisions on behalf of the Company. At any time when there are multiple Managers, they may establish by resolution such procedures for meetings and notices thereof as they may deem appropriate, and they may also establish procedures for taking action by written consent of a majority of the Managers. In the absence of adoption of any such procedures, actions approved by a majority of the Managers at any meeting or in any writing signed by such a majority shall be deemed approved and acceptable. No Manager shall take any action on behalf of the Company that is not approved by or acceptable to a majority of the Managers. Unless the Managers have adopted other procedures in writing, each Manager shall be responsible to contact any other Manager(s) before taking any action that might not be so approved or acceptable and shall confirm in writing or in such manner as he deems reasonably prudent the requisite approval or acceptance of such other Manager(s) before taking such action. Any Manager breaching its obligations under this Section 6.5 shall be responsible to the Company and its Members and other Manager(s) for any loss, cost, damage, or expense (including professional fees) caused thereby and shall not be indemnified or held harmless by the Company, notwithstanding any contrary provisions of this Agreement. Any third party may rely on any Manager's apparent authority to bind the Company.

ARTICLE VII. TRANSFERABILITY OF MEMBERS' INTERESTS

7.1 **Restrictions on Transfer of Company Interests**.

(a) No sale, exchange, assignment, pledge, encumbrance, or transfer of any kind (each a "transfer") of any Company Interest may be made if the Company Interest sought to be transferred, when added to the total of all other Company Interests transferred within the period of twelve (12) consecutive months prior thereto, would, in the opinion of counsel for the Company, result in the Company being considered to have been terminated within the meaning of Section 708 of the Code, or any successor provision.

(b) No transfer of any Company Interest may be made if counsel for the Company shall be of the opinion that the transfer would be in violation of the Securities Act of 1933, as amended, or of any state securities or "Blue Sky" laws (including any investment suitability standards) applicable to the Company.

(c) No transferee may become a Member unless the Manager and a Super Majority in Interest of all other Members Consent.

7.2 <u>Transferees and Substituted Members</u>.

(a) If a Member dies, his personal representative, executor, administrator or trustee, or, if he is adjudicated incompetent, his guardian or conservator, or, if he becomes bankrupt, the receiver or trustee of his estate, shall have all the rights of an assignee only for the purpose of settling or managing his estate and such power as the decedent or incompetent possessed to assign all or any part of his Company Interest, all subject to and consistent with the provisions of this Agreement.

(b) Except as provided herein, the Company need not recognize for any purpose any transfer of a Company Interest unless there shall have been filed with the Company a duly executed and acknowledged counterpart of the instrument making the transfer and the instrument evidences the written acceptance by the transferee of all of the terms and provisions of this Agreement and represents that the transfer was made in accordance with all applicable laws and regulations. The Company shall recognize the transfer of a Company Interest of a Member by the trustee of a Member or the Member's personal representative, executor, heir, devisee, or beneficiary, provided, however, such transferee shall not be recognized as a Member without the approval of all the other Members. Any such transferee who accepts such transfer shall be deemed to have accepted all of the terms and provisions of this Agreement.

(c) Any Member who shall assign his entire Company Interest shall cease to be a Member of the Company.

(d) Any Person who is a transferee of a Company Interest who has satisfied the requirements of this Agreement to otherwise become a Member shall be recognized as a Substituted Member if and only if and when such conditions have been determined to be satisfied by the Manager and such Person shall have paid all reasonable legal fees and filing costs in connection with his substitution as a Member; provided, however, that the substitution of any transferee of a Company Interest as a Substituted Member shall be subject to the Consent of a Super Majority in Interest of the Members.

(e) A Person who is the transferee of a Company Interest and desires to make a further transfer of such Company Interest, shall be subject to all the provisions of this Article VII to the same extent and in the same manner as any Member desiring to make a transfer of his Company Interest.

7.3 <u>Buy Back Options</u>.

(a) The Company shall have the options described in the next paragraph of this Section 7.3(a) with respect to any Person who holds a Company Interest (a “Holder”) if any of the following events ("Triggering Events") has occurred with respect to such Holder or such Holder's predecessor in interest:

(1) If the Holder appoints or has appointed a receiver or custodian for all or a substantial portion of its assets.

(2) If the Holder makes or consents to an assignment for the benefit of creditors or a common law composition of creditors.

(3) If the Holder files a voluntary petition of bankruptcy or is otherwise adjudged bankrupt or has entered against it an order for relief in any bankruptcy or insolvency proceeding.

(4) If the Holder's Company Interest shall be levied on for execution, or if any interest in the Company is awarded by judicial decree or judgment to any Person, including but not limited to the spouse or former spouse of the holder pursuant to a divorce or separation proceeding.

(5) If the Holder (or the Trustee of a Trust that is a Holder) dies or becomes legally incompetent or votes to dissent from a merger that is approved pursuant to the provisions of this Agreement, or if a Holder that is a corporation, trust, partnership, limited liability company, or other similar entity suffers a change of fifty percent (50%) or more of the ownership of the equity, securities, or other beneficial interests therein, or if there is a change in fifty percent (50%) or more of the directors, trustees, partners, or other managers or members of such entity, or if same is dissolved, liquidated, or otherwise terminated or allows to occur a sale or other transfer of substantially all of its assets, whether by merger, reorganization, or otherwise.

If any of the Triggering Events described above in this Section 7.3(a) occurs, then the Company, acting by the Manager shall have an option (i) to purchase all, but not less than all, of such Holder's Company Interest at the price and on the terms specified in this Section, or (ii) to demand that the Company be liquidated and dissolved, in which case all Members shall vote in such manner to cause such liquidation and dissolution, or (iii) to continue as permitted by law after the Triggering Event described above with any successor to such Holder being treated as a mere assignee of the interest thereof, with no right to participate in the management of the Company (unless approved for membership in accordance with this Agreement).

If the Company exercises the option to purchase or liquidate as granted under this Section 7.3, it shall do so by notifying the Holder of the Company Interest being purchased (or its legal successor) of this decision any time within one (1) year after the occurrence of the Triggering Event, even though it may have been cured before the notice of exercise or any bankruptcy petition may have been dismissed or otherwise discharged. The Company's option to purchase is enforceable by injunctive relief.

(b) Except as otherwise specifically provided herein, the purchase price for any interest in the Company to be sold pursuant to options or requirements contained in this Agreement shall be equal to an amount determined by the accountants then serving the Company, who may retain and consult with one or more appraisers on the Company's behalf, as they deem appropriate, and the amount so determined by the Company's accountants shall be final and binding on all parties. Any costs or expenses associated with making any such determination shall be paid fifty percent (50%) by the purchaser(s) and fifty percent (50%) by the seller.

(c) Except as otherwise provided herein, if a Company Interest is sold and purchased pursuant to the provisions of this Agreement, the payment terms shall be as follows: The purchase price shall be paid by a down payment of ten percent (10%) of the total purchase price, with the balance being paid pursuant to a promissory note, bearing interest at a rate equal to one percent (1%) per annum over the applicable federal rate (as determined under Code Section 1274(d)) for midterm loans made during the month of closing, and requiring twenty (20) equal quarterly payments of principal and interest, with payments commencing three (3) months following the time of closing. The promissory note may be prepaid without premium or penalty.

(d) Except as otherwise provided herein, the closing on a purchase pursuant to an option set forth in this Agreement shall occur within thirty (30) days after the purchaser's written election to purchase. The specific time and place of closing shall be specified by the purchaser.

7.4 Right of First Refusal and Other Transfer Restrictions.

(a) Except as otherwise provided herein, no Holder of a Company Interest shall sell, assign, encumber or otherwise transfer, voluntarily or involuntarily, with or without consideration, all or part of any such interest, whether now held or hereafter acquired, unless such Holder has first given the notices and made the offers to sell as provided herein, and no such offer has been accepted. A Company Interest is transferable only in strict compliance with the terms of this Agreement.

(b) If any Holder shall receive an offer for the purchase of or otherwise desires to sell all or part of his Company Interest, that Holder shall have the right to sell the Company Interest subject to the following limitations and subject to Section 7.1 and any other applicable restrictions imposed by this Agreement:

(1) The Holder shall procure a bona fide written offer, signed by the prospective purchaser and containing all terms of the offer, or the Holder may establish a price and terms upon which he proposes to sell his Company Interest.

(2) The Holder shall promptly notify in writing the Company and all of its Members of the terms of the offer or the terms on which he proposes to sell his Company Interest.

(3) The Company (acting by the Manager) shall have the option to elect, within sixty (60) days after receipt of the notice, to purchase that portion of the Company Interest covered by the offer.

(4) If the Company does not exercise its option to purchase, the other Members shall have, for thirty (30) days after the Company's option expires, the option to purchase the Company Interest. If more than one such other Member elects to exercise this

purchase option, each such electing Member shall be entitled to purchase only that portion of the Company Interest being sold that corresponds to the percentage obtained by dividing such Member's Company Interest by the total of the Company Interests of all Members electing to so purchase.

(5) The options granted to the Company and to the other Members under this Article shall be exercisable on the same terms and conditions as required to be set forth in the notice referenced in Section 7.4(b)(2) or at the purchase price and terms set forth in Section 7.3, whichever the Company or the purchasing Member(s) shall elect.

(6) If any Holder proposes a transfer of a Company Interest other than by sale, including an assignment, encumbrance, or other disposition of a Company Interest, or if any Person seeks to obtain an interest in any Holder's Company Interest, whether by execution, judgment or otherwise, the Holder, or the party seeking to obtain the interest, as the case may be, shall notify the Company and all other Members of the name and address of the prospective transferee, the extent of the Company Interest to be transferred, and all terms and conditions contemplated by the transfer, and the Company and the other Members shall have options to acquire the Company Interest in accordance with the terms and conditions of the options granted in Section 7.4(b) (right of first refusal).

(c) After the expiration of the options described in Sections 7.4(b), the Holder shall be entitled to make the proposed sale, assignment, encumbrance, or other transfer to the person named in the notice, or offer the Company Interest for sale, but only upon the terms and conditions described in the notice and subject to the provisions of this Agreement. If such sale, assignment, encumbrance, or other transfer is not made within sixty (60) days after the expiration of the last of the options granted in this Section 7.4, the Company Interest shall automatically again become subject to the restrictions on transfer stated herein.

7.5 <u>Cross-Options to Purchase</u>. The Founding Members as a group will have an option (the "Founding Members Option") to purchase all of the Company Interests of all of the Royalty Members, and the Royalty Members acting as a group will have an option (the "Royalty Members Option") to purchase all of the Company Interests of all of the Founding Members, all on the terms set forth in this Section 7.5. Pursuant to the Founding Members Option, the Founding Members may only purchase all of the Company Interests of all Royalty Members; the Founding Members may not purchase Company Interests from less than all Royalty Members and may not purchase less than all Company Interests from any one Royalty Member. Pursuant to the Royalty Members Option, the Royalty Members may only purchase all of the Company Interests of all Founding Members; the Royalty Members may not purchase Company Interests from less than all Founding Members and may not purchase less than all Company Interests from any one Founding Member.

(a) The Founding Members, acting by a Majority in Interest, may exercise the Founding Members Option at any time by (i) paying off in full all debt of the Company pursuant to the Draw Note and (ii) providing a written exercise notice to the Company and to all Royalty Members. The closing ("Founding Members Option Closing") shall occur within thirty (30) days following the receipt of such notice by the Company and Royalty Members.

(1) The purchase price for each Royalty Member's Company Interest shall be as follows:

(i) If the Founding Members exercise the Founding Members Option before commercial viability of the Device (as such commercial viability shall be determined in the sole discretion of the Manager), the purchase price shall be equal to (i) the amount of royalties that would have been paid to the Royalty Member under the Royalty Agreement during the five-year period following the Founding Members Option Closing, plus (ii) the amount of Company profits that would have been allocated to such Royalty Member under this Operating Agreement during the five-year period following the Founding Members Option Closing.

(ii) If the Founding Members exercise the Founding Members Option after the Device achieves commercial viability (as such commercial viability shall be determined in the sole discretion of the Manager), the purchase price shall be equal to (i) the amount of royalties that would have been paid to the Royalty Member under the Royalty Agreement during the seven-year period following the Founding Members Option Closing, plus (ii) the amount of Company profits that would have been allocated to such Royalty Member under this Operating Agreement during the seven-year period following the Founding Members Option Closing.

(2) The Founding Members may allocate the Royalty Members' Company Interests among the Founding Members, and may fund the purchase of the Royalty Members' Company Interests, however the Founding Members, acting by a Majority-in-Interest, may decide.

(b) The Royalty Members, acting by a Majority in Interest, may exercise the Royalty Members Option (at any time prior to their receipt of a written notice from the Founding Members that the Founding Members are exercising the Founding Members Option) by providing a written exercise notice to the Company and to all Founding Members. The closing ("Royalty Members Option Closing") shall occur within thirty (30) days following the receipt of such notice by the Company and Founding Members.

(1) The purchase price for each Founding Member's Company Interest shall be as follows:

(i) If the Royalty Members exercise the Royalty Members Option before commercial viability of the Device (as such commercial viability shall be determined in the sole discretion of the Manager), the purchase price shall be equal to the amount of Company profits that would have been allocated to such Founding Member under this Operating Agreement during the five-year period following the Royalty Members Option Closing.

(ii) If the Royalty Members exercise the Royalty Members Option after the Device achieves commercial viability (as such commercial viability shall be determined in the sole discretion of the Manager), the purchase price shall be equal to the amount of Company profits that would have been allocated to such Founding Member under this Operating Agreement during the seven-year period following the Royalty Members Option Closing.

(2) The Royalty Members may allocate the Founding Members' Company Interests among the Royalty Members, and may fund the purchase of the Founding Members' Company Interests, however the Royalty Members, acting by a Majority-in-Interest, may decide.

(c) Payments of purchase price shall be made quarterly within thirty (30) days after the end of each calendar quarter occurring following the Founding Members Option Closing or Royalty Members Option Closing as the case may be. With each payment of purchase price, the purchasing Members will also deliver financial reports detailing how the purchase price payment was calculated and providing the results of operations for the Company for such calendar quarter, including a profit and loss statement and any other information reasonably requested by the selling Members. The purchasing Members shall be obligated to deliver such reports and information even if no payment of purchase price is due because no royalties would have been paid and/or no profits allocated during the calendar quarter.

(d) For the sake of clarity, if the Founding Members desire to exercise the Founding Members Option and the Royalty Members desire to exercise the Royalty Members Option, the Founding Members shall be allowed to exercise the Founding Members Option and the Royalty Members shall not be allowed to exercise the Royalty Members Option.

7.6 Priority. In the event any condition or facts give rise to application or possible application of simultaneous options under more than one Section of this Agreement to any particular set of facts, the parties holding the option(s) to purchase shall, acting by Majority in Interest, be entitled to elect whichever option(s) they desire to pursue.

7.7 Transfer of Company Interest to a Revocable Living Trust. Notwithstanding the restrictions on transfer imposed by Section 7.4, any individual Member may transfer all or any of his Company Interest to a revocable living trust, provided that the right to vote the Company Interest is retained by that Member in a fashion satisfactory to counsel for the Company, and further provided that such transfer is expressly made subject to the terms of this Agreement. If such a transfer is made, the Trustee of the revocable living trust shall be considered to be the "Personal Representative" of that Member, and the trust, through its trustee or successor trustee, shall be deemed to be a Member for all purposes under this Agreement with the same rights and privileges and obligations as those imposed hereunder on the individual Member assigning such Company Interest to the trust.

ARTICLE VIII. DISSOLUTION AND LIQUIDATION OF THE COMPANY

8.1 Events Causing Dissolution.

(a) The Company shall dissolve and commence winding up and liquidating and shall thereafter terminate upon the happening of any of the following events:

(1) the election by a Super Majority in Interest of the Members to dissolve, wind up, and liquidate the Company; or

(2) the happening of any other event requiring the dissolution of the Company under the laws of the State of Michigan and not otherwise addressed specifically in this Agreement.

(b) Dissolution of the Company shall be effective on the day on which the event occurs giving rise to the dissolution, but the Company shall not terminate until a certificate of dissolution shall have been filed and the assets of the Company shall have been distributed as provided in this Agreement. Notwithstanding the dissolution of the Company, prior to the termination of the Company, the business of the Company and the affairs of the Members, as such, shall continue to be governed by this Agreement.

8.2 Liquidation and Winding Up.

(a) Upon the occurrence of a dissolution event described in Section 8.1, the Company shall continue for the sole purpose of winding up its affairs in an orderly manner, liquidating its assets, and satisfying the claims of its creditors and Members; and the Manager, or in the event there is no remaining Manager, any other Person selected by a Super Majority in Interest of the Members (a "Liquidator"), shall take account of the Company assets and liabilities, and the assets shall be liquidated as promptly as is consistent with obtaining their fair market value, and the proceeds of the liquidation, to the extent sufficient, together with assets distributed in kind, shall be applied and distributed in accordance with Section 4.2.

(b) Distributions pursuant to this Section 8.2 may be made in cash or kind as the Manager in its sole discretion or the Liquidator in its sole discretion shall determine. The Members' Capital Account balances shall be appropriately adjusted before any distributions pursuant to this Section 8.2 to reflect sales or other dispositions by the Company giving rise to Capital Account adjustments and to reflect the Capital Account adjustments that would have occurred had any Property to be distributed in kind to the Members been sold for fair market value by the Company prior to distribution.

8.3 No Liability for Return of Capital. Except as otherwise provided in this Agreement, (a) each Member shall look solely to the assets of the Company for the return of its Capital Contribution and shall have no right or power to demand or receive property other than cash from the Company in accordance with the terms hereof, and (b) no Member shall have priority over any other Member as to the return of its Capital Contributions, distributions, or allocations. The Manager shall not be personally liable for the return of all or any portion of the Capital Contributions of the Members. Any such return shall be made solely from Company assets.

ARTICLE IX. BOOKS AND ACCOUNTING REPORTS

9.1 **Books and Records**. The books and records of the Company shall be maintained at the principal office of the Company. The records required by the Act to be kept at the Company's principal office are subject to inspection and copying by any Member or his duly authorized representative during ordinary business hours at the reasonable request and expense of such Member.

9.2 **Tax Accounting**. The books of the Company shall be kept on such cash or accrual method as the Manager shall reasonably establish, consistent with tax law requirements, and the Company's fiscal year shall end on December 31 or such other day as the Manager shall reasonably establish consistent with the requirements of the Code.

9.3 **Bank Accounts**. The bank and other financial accounts of the Company shall be maintained in such institutions as the Manager shall determine, and withdrawals shall be made only in the regular course of Company business on such signature or signatures as the Manager may determine. All deposits and other funds not needed in the operation of the business may be invested as the Manager deems appropriate.

9.4 **Depreciation and Elections**. With respect to all depreciable assets of the Company, the Company may elect to use, so far as permitted by the provisions of the Code, accelerated depreciation methods; however, the Company may change to or elect some other method of depreciation so long as such other method is, in the opinion of the Manager, most advantageous to a Majority in Interest of the Members. In the case of the transfer of a Member's interest in the Company pursuant to any provisions hereof, the Company shall file the election specified by Section 754 of the Code.

ARTICLE X. MEETINGS AND VOTING RIGHTS OF MEMBERS

10.1 **Meetings**. Regular meetings of the Members may be held from time to time as determined by the Manager or by a Super Majority in Interest of the Members. Special meetings of the Members for any purposes may be called by the Manager and shall be called by the Manager upon receipt of a request in writing signed by a Super Majority in Interest of the Members. Notification of such meeting shall be sent within ten (10) days after receipt of such request and at least ten (10) days in advance of the date of such special meeting, which shall take place no later than thirty (30) days after the date on which the Manager or Members requesting the meeting gave notification of their desire to have such special meeting called. Such request shall state the purpose of the proposed meeting and the matters proposed to be acted upon. Such meeting shall be held in the principal office of the Company or such other place as the Manager shall reasonably designate.

10.2 **Voting**. Any action to be taken or item to be approved by the Members shall be done, unless otherwise indicated in the Act or this Agreement, by the vote of Members holding a Majority Interest of the Company Interests. Any such vote may occur at a meeting of the Members or pursuant to a written document signed by Members holding a Majority Interest of the Company Interests.

10.3 **Proxies**. Each Member may authorize any Person or Persons to act for him by proxy in all matters in which a Member is entitled to participate, whether by waiving notice of any meeting, or voting or participating at a meeting. Every proxy must be signed by the Member or his attorney-in-fact. Every proxy shall be revocable at the pleasure of the Member executing it.

ARTICLE XI. MISCELLANEOUS PROVISIONS

11.1 **Amendments**. Except to the extent that another provision of this Agreement expressly provides to the contrary, any amendment to this Agreement must be approved, in writing, by the Manager and a Super Majority in Interest of the Members. Each Member, Substituted Member, Manager and successor or additional Manager shall become a signatory of this Agreement by signing such number of counterpart signature pages to this Agreement or such other instrument or instruments, and in a manner and at a time, as the Manager shall determine. By so signing, each Member, Substituted Member, Manager or successor or additional Manager, as the case may be, shall be deemed to have adopted, and to have agreed to be bound by, all the provisions of this Agreement, as amended from time to time in accordance with the provisions of this Agreement; provided, however, that no such counterpart shall be binding on the Company until it shall have been accepted by the Manager pursuant to the provisions of this Agreement.

11.2 **Investment Representations**. By execution hereof, each Member acknowledges and agrees that such Member understands: (a) that the interests evidenced by this Agreement have not been registered under the Securities Act of 1933, as amended, or any state securities laws (the "Securities Acts") because the Company is issuing these interests in reliance upon the exemptions from the registration requirements of the Securities Acts providing for issuance of securities not involving a public offering, (b) that the Company has relied upon the fact that the interests are to be held by each Member for investment purposes only, and (c) that exemption from registration under the Securities Acts would not be available if the interests were acquired by a Member with a view to distribution. Accordingly, each Member hereby confirms to the Company that such Member is acquiring its interest hereunder for such own Member for investment and not with a view to the resale or distribution thereof. Each Member agrees not to transfer, sell or offer for sale any portion of such interest unless there is an effective registration or other qualification relating thereto under the Securities Acts or unless the Member delivers to the Company an opinion of counsel, satisfactory to the Company, that such registration or other qualification under such Securities Acts is not required in connection with such transfer, offer or sale. Each Member understands that the Company is under no obligation to register the interests or to assist such Member in complying with any exemption from registration under the Securities Acts if such Member should at a later date wish to dispose of any interest hereunder. Furthermore, each Member realizes that such interests are unlikely to qualify for disposition under Rule 144 of the Securities and Exchange Commission unless such Member is not an "affiliate" of the Company and the interest has been beneficially owned and fully paid for by such Member for at least two (2) years. Each Member represents and warrants that prior to investing or acquiring any interest in the Company, such Member and his legal or other representatives have made an independent investigation of the Company and its business and have had made available to them all information with respect thereto requested and/or needed to make an informed decision to acquire the interest. Each Member represents and warrants that he is an "accredited investor" under Regulation D of the Securities Act of 1933, and under the state securities laws of the particular state of residence of such Member, and that he is a person possessing experience and sophistication as an investor which are adequate for the evaluation of the merits and risks of such Member's investment in the Company.

11.3 **Parties Bound and Benefited**. The covenants and agreements contained in this Agreement shall be binding upon, and inure to the benefit of, the heirs, executors, administrators, personal representatives, successors and assigns (to the extent permitted) of the respective parties to this Agreement. Nothing in this Agreement, expressed or implied, is intended to confer on any other Person any rights or remedies under or by this Agreement.

11.4 **Entire Agreement**. The parties agree that this instrument (together with attached exhibits and schedules) contains the entire understanding among the parties to this Agreement with respect to the subject matter of this Agreement, and supersedes all prior and contemporaneous agreements and understandings, proposals, representations, warranties, inducements or conditions, express or implied, oral or written, except as contained in this Agreement. The parties acknowledge that each has read this Agreement, understands it and agrees to be bound by its terms. The parties further agree that this Agreement may not in any way be explained or supplemented by a prior or existing course of dealing between the parties, by any usage of any trade or custom, or by any prior performance by the parties pursuant to this Agreement. Except as otherwise expressly provided herein, this Agreement may not be modified or amended other than by an agreement in writing signed by any party contesting the validity of the modification or amendment.

11.5 **Governing Law**. The validity of this Agreement, the terms of this Agreement, and all duties, obligations and rights existing from this Agreement, shall be governed by and interpreted in accordance with the local laws of the State of Michigan. Any action to enforce, arising out of, or relating in any way to, any of the provisions of this Agreement shall be brought and prosecuted in the courts of and for the State of Michigan as is provided by law; the parties consent to the jurisdiction of those courts of and for the State of Michigan and to the service of process by registered mail, return receipt requested or by any other manner provided by law.

11.6 **Severability of Provisions; Waiver of Right to Partition**. Each provision of this Agreement shall be considered severable. If for any reason any provision or provisions hereof are determined to be invalid or contrary to any existing or future law, that invalidity shall not impair the operation of or affect those portions of this Agreement which are valid. Each Member irrevocably waives any right he may have to maintain any action for partition with respect to any of the Company's Property.

11.7 **Construction; Captions; Pronouns**. Every covenant, term, and provision of this Agreement shall be construed simply according to its fair meaning and not strictly for or against any particular party. The captions contained in this Agreement (including exhibits and schedules) are for convenience only, form no part of this Agreement and shall not in any manner amplify, limit, modify or otherwise affect the interpretation of this Agreement. As used in this Agreement (including exhibits and schedules), the masculine, feminine or neuter gender and the singular or plural number shall be deemed to include the others whenever the context so indicates or requires.

11.8 Further Action. Each Member, upon the request of the Manager, agrees to perform all further acts and execute, acknowledge, and deliver any documents that may be reasonably necessary, appropriate, or desirable to carry out the provisions of this Agreement.

11.9 Counterparts. This Agreement may be executed in several counterparts, all of which together shall constitute one agreement binding on all parties to this Agreement, notwithstanding that all the parties have not signed the same counterpart.

11.10 Time. Time is of the essence with respect to the rights and obligations arising under this Agreement.

11.11 Specific Performance and Damages. The Members understand and agree that any Member may suffer irreparable damage in the event that this Agreement is not specifically performed according to its terms. Accordingly, the Members agree that all the terms of this Agreement will be enforceable in a court having equity jurisdiction by a decree of specific performance or by injunction or by both; provided, however, that the foregoing will not be construed as prohibiting any of the Members from pursuing any additional remedies for a breach or threatened breach of this Agreement, including the recovery of damages.

11.12 Counsel. Each Member acknowledges that Varnum LLP has prepared this Agreement for and on behalf of the Company in connection with its representation of the Company, and that Varnum LLP has not been retained to represent, and in fact is not representing, any other Person in connection with the preparation, negotiation, or evaluation of the matters contemplated by this Agreement (unless otherwise set forth in a separate engagement letter or similar written agreement), and each other Person acknowledges having been advised to obtain or to consider obtaining independent counsel to represent such other Person in connection with any matters arising hereunder as to which such other Person may desire counsel.

11.13 Notices. Whenever written notice is required by the terms of this Agreement, such notice will be valid if delivered in one of the following ways: by personal/hand delivery with written receipt; by reputable overnight courier with verified delivery; by registered or certified U.S. mail, return receipt requested; or by email (with return email confirming receipt), to the address for such notified party set forth below its signature on the signature page of this Agreement (or to any more current address subsequently provided by the notified party or of which the sending party has actual knowledge). Notices are effective upon the date delivered or the date when delivery is attempted but refused.

IN WITNESS WHEREOF, the undersigned have executed this Agreement as of the date set forth in the heading.

COMPANY:

BRAG & BEV, LLC

DocuSigned by:

By John Braganini

5B44565C7450494...

John F. Braganini, Manager

Address for notice:

8180 Slate Stone Circle

Portage, MI 49024
jbglm2@gmail.com

MANAGER:

DocuSigned by:

John Braganini

5B44565C7450494...

John F. Braganini

Address for notice:
8180 Slate Stone Circle

Portage, MI 49024
jbglm2@gmail.com

MEMBERS:

____

Jacob B. Bevier

Address for notice:

105 Pendleton Trail

Tyron, GA 30290
bevier19jac@icloud.com

____

Candace Bevier

Address for notice:

105 Pendleton Trail

Tyron, GA 30290
candace.aaron@hotmail.com

JOHN F. BRAGANINI TRUST

DocuSigned by:
By John Braganini
5B445650745049...
John F. Braganini, Trustee

Address for notice:

8180 Slate Stone Circle

Portage, MI 49024
jbglm2@gmail.com

SARAH J. BRAGANINI TRUST

Signed by:
By ______________________________
8DAA0990C517044D...
Sarah J. Braganini, Trustee

Address for notice:

8180 Slate Stone Circle

Portage, MI 49024
sarahjbraganini@gmail.com

APOLLO BRAGANINI II TRUST

By ______________________________
Apollo Braganini II, Trustee

Address for notice:

8129 E. D Ave.

Richland, MI 49083
abraganini@gmail.com

EXHIBITS:

A (Definitions)
B (Capital Contributions/Ownership)
C (Assignment and Declaration)
D (Draw Promissory Note)
E (Royalty Agreement)

EXHIBIT A

DEFINITIONS

"Adjusted Capital Account Deficit" means the deficit balance, if any, in a Member's Capital Account (i) increased by (a) to the extent provided in Regulation Section 1.704-1(b)(2)(ii)(c), the amount of any unconditional obligation of such Member imposed by state or local law to make contributions to the Company and (b) the amount the Member is deemed obligated to restore pursuant to Regulations Section 1.704-2(g)(1) and Section 1.704-2(i)(5), and (ii) decreased by the items described in Regulation Section 1.704-1(b)(2)(ii)(d)(4), (5) and (6). This definition is intended to comply with the requirements of the alternate test for economic effect contained in Regulation Section 1.704-1(b)(2)(ii)(d).

"Adjusted Capital Contribution Account" means a financial account to be maintained by the Company for the Members, which account shall be equal to the total amount of cash contributed to the capital of the Company by all of the Members and decreased by amounts distributed to the Members pursuant to Article IV.

"Affiliate" means (i) any Person directly or indirectly controlling, controlled by or under common control with another Person; (ii) any Person owning or controlling 10% or more of the outstanding voting securities of such other Person; (iii) any officer, director, or Member of such Person; and (iv) if such Person is an officer, director, or Member, any Company for which such Person acts in that capacity.

"Agreement" means this Operating Agreement for BRAG & BEV, LLC, as amended from time to time. Words such as "herein," "hereinafter," "hereof," "hereto," "hereby" and "hereunder," when used with reference to this Agreement, refer to this Agreement (including exhibits and schedules) as a whole, unless the context otherwise requires.

"Capital Account" means the account described in Section 3.2.

"Capital Contribution" means the total amount of cash or the gross asset value of any property other than cash contributed to the capital of the Company (prior to the deduction of any expenses) by all the Members or any class of Members or any one Member, as the case may be (including the predecessor Holders of the Company Units of such Members or Member).

"Cash Flow" means, with respect to any fiscal year, cash receipts from Company operations, without deduction for depreciation or cost recovery deductions, but after deducting cash receipts used to pay operating expenses, Debt Service and capital expenditures.

"Code" means the Internal Revenue Code of 1986, as amended (or any corresponding provision or provisions of succeeding law).

"Company" means BRAG & BEV, LLC, the limited liability company formed pursuant to this Agreement.

"Company Interest" means the extent (expressed as a percentage) to which a Person is entitled to participate in net income and gain, net loss and Disbursable Cash and all other attributes of ownership to which a Member is entitled under this Agreement. Unless otherwise provided herein, such percentage(s) shall be determined with reference to the proportionate ownership of Company Units held by such Person.

"Company Unit" means a Company Interest represented by a specified Capital Contribution per Company Unit, or if no "per unit" amount is specified, represented by a Capital Contribution for the number of Company Units as indicated on Exhibit B. The Holder of Company Units will, subject to the provisions of this Agreement, be entitled to participate in allocations of net income and gain, net loss, and Disbursable Cash and all other attributes of ownership.

“Competing Business” has the meaning set forth in Section 5.5(b) of this Agreement.

“Confidential Information” has the meaning set forth in Section 5.5(c) of this Agreement.

"Consent" means either the consent given by vote at a meeting called and held in accordance with the provisions of this Agreement or the written consent, as the case may be, of a Person to do the act or thing for which the consent is solicited, or the act of granting the consent, as the context may require. Reference to a specified percentage in interest of the Members means Members whose combined Company Interests represent such specified percentage, respectively, of the Company Interests of all Members entitled to vote on the matter.

"Debt Service" means all payments of principal, interest or premium or other finance charges required to be made in connection with any loan to the Company.

"Device" has the meaning set forth in Section 2.3 of this Agreement.

"Disbursable Cash" means, with respect to any fiscal period, Cash Flow less any amounts set aside from Cash Flow for the restoration or creation of Reserves.

“Draw Note” means the Draw Promissory Note to be issued by the Company to John F. Braganini or his trust as set forth in footnote 2 to Exhibit B of this Agreement, such Draw Promissory Note to be in the form of Exhibit D to this Agreement.

“Founding Member(s)” means Jacob B. Bevier and Candace Bevier.

“Holder(s)” has the meaning set forth in Section 7.3 of this Agreement.

"Majority in Interest" means, with respect to any group of Members or holders of Company Interests voting on or affected by any particular matter, those Members or holders having more than 50% of the Company Interests of all such Members or holders comprising the group voting or affected.

"Manager" means John F. Braganini. Manager shall also mean any other Person or Persons who have been admitted, as provided in this Agreement, as a successor Manager or as an additional Manager. Any reference to "Manager" shall be deemed to include each Person who then is a Manager.

"Member" means any Person who is a Member at the time of reference, in such Person's capacity as a Member of the Company, including the Manager. If a Person is a Member immediately before the purchase or other acquisition by such Person of a Company Interest, then such Person shall have all the rights of a Member with respect to such acquired Company Interest.

"Member Minimum Gain" means an amount, with respect to each Member Nonrecourse Debt, equal to the Company Minimum Gain that would result if such Member Nonrecourse Debt were treated as a Nonrecourse Liability, determined in accordance with Section 1.704-2(i)(3) of the Regulations.

"Member Nonrecourse Debt" has the meaning set forth in Section 1.704-2(b)(4) of the Regulations for Partner Nonrecourse Debt.

"Member Nonrecourse Deductions" has the meaning set forth in Section 1.704-2(i)(2) of the Regulations for "partner nonrecourse deductions." The amount of Member Nonrecourse Deductions with respect to a Member Nonrecourse Debt for a Company fiscal year equals the excess, if any, of the net increase, if any, in the amount of Member Minimum Gain attributable to such Member Nonrecourse Debt during that fiscal year over the aggregate amount of any distributions during that fiscal year to the Member that bears the economic risk of loss for such Member Nonrecourse Debt to the extent such distributions are from the proceeds of such Member Nonrecourse Debt and are allocable to an increase in Member Minimum Gain attributable to such Member Nonrecourse Debt, determined in accordance with Section 1.704-2(i)(2) of the Regulations.

"Nonrecourse Deductions" has the meaning set forth in Section 1.704-2(b)(1) of the Regulations. The amount of Nonrecourse Deductions for a Company fiscal year equals the excess, if any, of the net increase, if any, in the amount of Company Minimum Gain during that fiscal year over the aggregate amount of any distributions during that fiscal year of proceeds of a Nonrecourse Liability that are allocable to an increase in Company Minimum Gain, determined according to the provisions of Section 1.704-2(c).

"Nonrecourse Liability" has the meaning set forth in Section 1.752-l(a)(2) of the Regulations.

"Notification" means a writing containing the information required by this Agreement to be communicated to any Person, sent by registered, certified or regular mail, or by reputable commercial overnight delivery service, postage prepaid, to the Person at the last known address of the Person. The date of registry of the Notification or the date of the certified receipt in the case of registered or certified mail shall be deemed the date of Notification; provided, however, that any written communication containing the information required to be communicated to the Person and actually received by the Person shall constitute Notification for all purposes of this Agreement.

"Person" means any natural person, partnership, limited liability company, corporation, trust, association or other legal entity.

“Primary Business” has the meaning set forth in Section 2.3 of this Agreement.

"Property" means all real and personal property acquired by the Company and any improvements thereto, and shall include the Device and all other tangible and intangible property.

"Reserves" means, with respect to any fiscal period, payments made or amounts allocated during the period to reserves which shall be maintained in amounts deemed sufficient by the Manager for working capital and to pay taxes, insurance, Debt Service, repairs, replacements or renewals, or other costs and expenses incident to the ownership or operation of the Company's business and for any future growth or capital acquisitions the Manager may contemplate.

“Royalty Member(s)” means the John F. Braganini Trust, the Sarah J. Braganini Trust, the Apollo Braganini Trust, and any other Member who becomes a party to a Royalty Agreement of even date with this Agreement by and among the Company and such persons, along with any successor, assign, or beneficiary of any of such persons.

"Substituted Member" means any Person admitted to the Company as a Member pursuant to the provisions of Section 7.2 of this Agreement.

"Super Majority in Interest" means, with respect to any group of Members or holders of Company Interests voting on or affected by any particular matter, those Members or Holders having more than 90% of the Company Interests of all such Members or Holders comprising the group voting or affected.

"Triggering Event" means an event described as such in Section 7.3 of this Agreement.

EXHIBIT B

Name	Capital Contribution	Company Units	Company Interest
Jacob B. Bevier	$640[1]	64	64%
Candace Bevier	$160[1]	16	16%
John F. Braganini Trust	$50[2]	5	5%
Sarah J. Braganini Trust	$50	5	5%
Apollo Braganini II Trust	$100	10	10%
Totals	$1,000	100	100%

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[1] This Member also agrees to assign to the Company all of such Member's ownership rights and patent rights in the Device pursuant to the terms of an Assignment and Declaration in the form attached to this Agreement as Exhibit C.

[2] This Member also agrees to provide the following loans to the Company pursuant to the terms set forth in the Draw Promissory Note in the form attached to this Agreement as Exhibit D, provided that the Company enters into a Royalty Agreement in the form attached to this Agreement as Exhibit E:

Milestone	Loan Draw Amount
• Within three (3) business days following the date of this Agreement:	$12,000
• When the initial prototype of the Device performs successfully in the opinion of the Trustee of the John F. Braganini Trust:	$18,000
• As and when needed for further commercial development of the Device, in the opinion of the Trustee of the John F. Braganini Trust:	Up to $270,000

EXHIBIT C

FORM OF ASSIGNMENT AND DECLARATION

As a below named inventor, I hereby declare that:

ASSIGNMENT AND DECLARATION (37 C.F.R. 1.63) FOR UTILITY OR DESIGN APPLICATION USING AN APPLICATION DATA SHEET (37 C.F.R. 1.76)	
Title of Invention	**Self-Righting Automatic Dumpster Cleaning Device**

The declaration is directed to:

- ☐ The attached application or
- ☑ United States application or PCT international application number 63/723,626 filed on 22 Nov 24. (I hereby authorize the insertion of the application filing date and number when they become known.)

The above-identified application was made or authorized to be made by me.

I believe that I am the original inventor or an original joint inventor of a claimed invention in the application.

I am aware of the duty to disclose to the U.S. Patent and Trademark Office all information known to me to be material to patentability as defined in 37 C.F.R. 1.56.

NOW, THEREFORE, for good and valuable consideration, receipt of which is hereby acknowledged, I do hereby assign, sell and set over to Brag & Bev, LLC, a limited liability company organized and existing under the laws of the state of Michigan, and having a place of business at 105 Pendleton Trail, Tyrone, Georgia 30290, hereinafter referred to as the ASSIGNEE, its successors, assigns or other legal representatives, my entire right, title and interest, domestic and foreign, in and to the inventions and discoveries in the above-identified application including the right of said ASSIGNEE, its successors, assigns or other legal representatives to make applications and to receive Letters Patent for said inventions and discoveries in any and all foreign countries in its or their own name or names, or in my name, at its or their election, and I hereby assign, sell and set over to said ASSIGNEE, its successors, assigns or other legal representatives, all rights of priority, including any provisional applications, in and to said inventions and discoveries in all countries, including all applications claiming benefit of the filing date hereof, continuations, continuations-in-part, divisionals, reexaminations and reissue applications.

And I hereby agree for myself, my heirs, successors, assigns or other legal representatives to execute any and all papers, including applications for Letters Patent of any and all kinds and in any and all countries and to perform any and all acts which said ASSIGNEE, its successors, assigns or other legal representatives may deem necessary to secure thereto the rights herein assigned, sold and set over.

And I hereby represent and warrant that I have not granted any rights inconsistent with the rights granted herein.

I hereby acknowledge that any willful false statement made in this declaration is punishable under 18 U.S.C. 1001 by fine or imprisonment of not more than five (5) years, or both.

LEGAL NAME OF INVENTOR
Inventor: Jacob B. Bevier Date: 3 Jun 25 Signature: ______________
Page 1 (Supplemental Sheet with Additional Joint Inventors is attached if necessary)
Note: An Application Data Sheet (PTO/SB/14 or equivalent), including naming the entire inventive entity, must accompany this form

27476420v1

EXHIBIT D

FORM OF DRAW PROMISSORY NOTE

DRAW PROMISSORY NOTE

$300,000.00 June 12, 2025

FOR VALUE RECEIVED, **Brag & Bev, LLC**, a Michigan limited liability company ("**Borrower**"), promises to pay to the order of John F. Braganini, as Trustee of the John F. Braganini Trust ("**Lender**"), at 8180 Slate Stone Circle, Portage, Michigan 49024, or at such other place as the holder of this Note shall designate in writing to the Borrower, the principal sum of Three Hundred Thousand and no/100 Dollars ($300,000.00) or such lesser sum as may have been advanced to the Borrower (the "**Loan**"), together with interest thereon in accordance with the terms of this Note.

1. Interest Rate**.** The interest rate shall be at a fixed rate of five percent (5.0%) per annum, computed on the basis of a 360-day year for the actual number of days outstanding, and compounded annually. In addition, a late payment charge to defray administrative expenses in the amount of $250.00 for any payment overdue more than five (5) days may be assessed by Lender.

2. Default Interest Rate. Notwithstanding anything hereto to the contrary, during all times that there exists a default under this Note and after maturity, whether by acceleration or otherwise ("**Event of Default**"), the interest rate hereon shall be a per annum rate which is two percent (2.0%) above the "**Prime Rate**"). As used herein, the "Prime Rate" shall mean that rate of interest per annum designated by The Wall Street Journal as the "Prime Rate" as published for such day (or, if such day is not a business day, for the immediately preceding business day). Any change in the interest rate on this Note due to a change in the Prime Rate shall be effective as of the date of such change.

3. Use of Proceeds. Loan proceeds shall be used by Borrower solely to develop a patented self-righting automatic dumpster cleaning device (the "**Device**") for commercial production and sale (the "**Loan Purpose**").

4. Availability; Advances. Advances on Loan funds shall be governed by the following terms:

   a. Milestones. Advances on the Loan shall be available upon the achievement of certain "Milestones" as follows:

      i. Milestone 1; Initial Advance. Within three (3) Business Days following the issuance date of this Note: $12,000;

ii. Milestone 2. When the initial prototype of the Device performs successfully in the opinion of the Lender: $18,000;

iii. Additional Milestones. If and when Borrower demonstrates to Lender's satisfaction that additional advances are needed to further advance the Loan Purpose, Lender may in his discretion advance additional Loan funds in amounts deemed appropriate by Lender. Borrower will provide Lender with all information and documents reasonably necessary for Lender to evaluate a proposed additional Milestone and related advance.

b. No Re-Advances. The Loan is not a revolving loan facility. Principal amounts that are repaid from time to time shall not be available for re-advance.

c. No Advances following Default. Notwithstanding anything in this Note to the contrary, no advances shall be made on the Loan after the occurrence of an Event of Default under this Agreement.

d. Maximum Advance. Aggregate principal advances on this Note shall at no time exceed the amount of $300,000.

5. Security and Loan Documents. The indebtedness evidenced by this Note and any extension, renewal, or refinancing of such indebtedness is secured by a Security Agreement executed and delivered by Borrower and may be further secured by other documents now or hereafter executed and delivered by the Borrower or by a guarantor or other person as security for the Loan ("**Security Documents**"). The Lender and Borrower are parties along with others to a Royalty Agreement of even date herewith ("**Royalty Agreement**") pursuant to which Borrower is to pay down the Loan using certain Royalty Payments as calculated and defined in such Royalty Agreement. The Security Documents, the Royalty Agreement, and this Note are sometimes referred to in this Note as the "**Loan Documents**".

6. Payment. This Note shall be paid as follows:

a. Scheduled Payment. All outstanding principal, interest, late charges, fees, costs, and all other amounts then unpaid shall be paid in full in one lump sum on the seventh anniversary of the date of issuance of this Note.

b. Mandatory Prepayments. Borrower shall make mandatory prepayments of the Loan with Royalty Payments as calculated and defined in the Royalty Agreement.

c. Additional Prepayment. In addition to the mandatory prepayments, the Borrower may prepay this Note in whole or in part, at any time or from time to time, without premium or penalty.

d. Application of Payments. All payments may be applied, at the Lender's option, as follows: first to any collection costs or expenses (including reasonable attorneys' fees), then to any late charges or other fees owing under the Loan Documents, then to accrued interest, then to principal.

7. Default. The Borrower shall be in default hereunder upon the happening of any of the following (an "**Event of Default**"):

a. Any failure to make any payment of principal or accrued interest on the Note when due; or

b. The occurrence of a default under the terms of any of the Loan Documents or other agreements executed in connection herewith, that is not cured within the applicable time periods set forth in such documents; or

c. Dissolution, termination of existence, or insolvency of the Borrower; appointment of a receiver for the Borrower or any part of the property of Borrower; assignment for the benefit of Borrower's creditors; or the commencement of any proceeding under any bankruptcy or insolvency laws by or against the Borrower.

8. Remedies. Upon the occurrence of an Event of Default, the Lender may at its option declare principal, accrued interest, late fees, costs, and other amounts owed pursuant to this Note to be immediately due and payable, without presentation, demand, protest, or notice of any kind, all of which are hereby expressly waived. Lender shall have all the rights and remedies of a Secured Party under the Uniform Commercial Code as enacted in Michigan, and all other rights and remedies set forth in the Security Documents or otherwise available at law or in equity.

9. General Provisions. Acceptance of payment or waiver of any default shall not operate as a waiver of later defaults, nor of any other rights of the Lender. Any failure by the holder of this Note to exercise any right under this Note, including the right to accelerate Borrower's obligations upon an Event of Default, shall not constitute a waiver of the right to exercise such right while such default continues or upon another default. No waiver or release shall be binding against the holder of this Note unless given in writing by such holder.

10. Lender's Costs. In addition to all principal and accrued interest, the Borrower agrees to pay all reasonable and documented costs of collection and enforcement of this Note or any of the Security Documents including, without limitation, attorneys' fees, court costs, and all other costs and expenses described in any of the Loan Documents.

11. Assignment. Lender shall have the right to assign all or any part of this Note and to transfer rights of participation in this Note.

12. Presentment; Demand; Notice. The Borrower hereby waives presentment, demand, protest, notice of protest and notice of dishonor of this Note.

13. Maximum Interest Rate. At no time shall the interest rate on this Note exceed the highest interest rate permitted by law. To the extent amounts received by the holder of this Note are attributable to an interest rate in excess of that permitted by law, such amounts shall be deemed permitted prepayments of principal last coming due and applied as such without premium or penalty.

14. Governing Law. This Note, executed in the State of Michigan, shall be governed by and construed in accordance with the laws of the State of Michigan. Any provision conflicting with any statute or rule of law of the State of Michigan, including any statute or rule of law relating to the maximum rate of interest that can be paid by Borrower, or otherwise unenforceable for any reason, shall be deemed severable from the balance of this Note and shall be enforced to the maximum extent permitted by law and shall not invalidate any other provision contained in this Note.

Made as of the day and year first above written.

BORROWER:

BRAG & BEV, LLC, a Michigan limited liability company

DocuSigned by:

By: John Braganini John Braganini

5B44565C7450494...

Its: Manager

Signature Page to Draw Promissory Note ($300,000)

EXHIBIT E

FORM OF ROYALTY AGREEMENT

ROYALTY AGREEMENT

This Royalty Agreement ("Agreement") is entered as of June 13, 2025, by and between Brag & Bev, LLC, a Michigan limited liability company (the "Company"), John F. Braganini as Trustee of the John F. Braganini Trust ("JB"), Sarah J. Braganini as Trustee of the Sarah J. Braganini Trust ("SB"), and Apollo Braganini II as Trustee of the Apollo Braganini Trust ("AB"). JB, SB, and AB are sometimes collectively referred to as the "Investors".

BACKGROUND:

Jacob Bevier (the "Inventor") invented a certain self-righting automatic dumpster cleaning device (the "Device") for which the following patent application was filed: U.S. Provisional Application Serial No. 63/723,626 (sometimes referred to herein as the "Patent Rights"). The interests of the Inventor have been assigned or otherwise transferred to the Company by written assignment.

The Investors have made certain investments in the Company (the "Investments"), and JB has agreed to make certain Loans to the Company (the "Loans") pursuant to the terms of a Draw Promissory Note (the "Note"). The proceeds of the Investments and the Loans will be used by the Company to improve and develop the Device for commercial production and sale.

In exchange for the Investments and Loans, the Company is willing to make Royalty Payments to the Investors on the terms set forth in this Agreement.

AGREEMENT

In consideration of the foregoing premises, the mutual covenants and agreements hereinafter set forth, and other good and valuable consideration, the adequacy and receipt of which are hereby acknowledged, the parties agree as follows:

1. **Royalty**. From and after the date of this Agreement, the Company agrees to pay to the Investors royalties for each Device sold ("Royalties") equal to $1.00 per Device, as follows:

    a, 100% to JB to pay down and pay off the Loans (the "Loan Repayment Royalties"), and then, once the Loans are 100% repaid,

    b. 50% to JB, 25% to SB, and 25% to AB (the "Investor Royalties").

2. **Royalty Payment**. The Royalties set forth in Paragraph 1 are to be paid by the Company to the Investors on a quarterly basis paid within thirty (30) days after the ending day of

each calendar quarter for which payment is being made (the "Royalty Payments"). Each Royalty Payment shall be accompanied by a calculation summarizing how the amount of the Royalty Payment was determined. Royalty Payments will be made by wire transfer or check as directed by the Investors.

3. **Warranties**. The Company warrants that it has valid and exclusive title to the Patent Rights and the Device by reason of written assignments granted to it by the Inventor, and that the Inventor has no further ownership interest in the Patent Rights or the Device.

4. **Covenant**. The Company will use best efforts in good faith to improve and develop the Device for commercial production and sale.

5. **Indemnity**. The Company agrees to indemnify the Investors with respect to claims, damages, or losses resulting from or arising from the breach of the warranty and covenants given to the Investors in the preceding paragraphs.

6. **Transfers.** The Company shall not license, assign, grant, sell, or otherwise convey or transfer any right, title or interest to the Device or the Patent Rights to any other party without the written consent of all Investors, which consent shall not be unreasonably withheld.

7. **Term of this Agreement**. The term of this Agreement shall continue *ad infinitum* until terminated by further mutual written agreement of the parties, except that, if JB fails to fund the Loans as required by and set forth in the Note, the Company shall have no further obligation to pay Investor Royalties to JB, SB or AB (it being understood that the Company shall continue to be obligated to pay the Loan Repayment Royalties to JB).

8. **Interpretation**. This Agreement shall be interpreted as drafted jointly by the parties.

9. **Governing Law**. This Agreement shall be governed, construed, interpreted and enforced in accordance with the laws of the State of Michigan, without regard to its conflicts of laws and principles.

10. **Assignment**. This Agreement shall be binding upon and inure to the benefit of the parties and their respective successors and permitted lawful assigns.

11. **Amendment; Modification**. This Agreement cannot be amended, altered, or modified and no provision of this Agreement shall be waived, unless done so in writing, signed by a duly authorized representative of the party against whom such modification is sought to be enforced. A waiver by any party of any breach or failure to comply with any provision of this Agreement by any other party shall not be construed as or constitute a continuing waiver of such provision or a waiver of any other breach or failure to comply with any other provision of this Agreement.

12. **Entire Agreement**. This Agreement constitutes the entire agreement between the parties with respect to the subject matter of this Agreement.

13. **Counterparts**. This Agreement may be executed in one or more counterparts, each of which shall be deemed to be an original, but all of which shall constitute one and the same agreement.

IN WITNESS WHEREOF, the parties have caused this Agreement to be duly executed by their authorized representatives.

COMPANY:

BRAG & BEV, LLC

DocuSigned by:
By John Braganini
5B44565C7450494...
John F. Braganini, Manager

INVESTORS:

DocuSigned by:
John Braganini
5B44565C7450494...
John F. Braganini, as Trustee of the John F. Braganini Trust

Signed by:
18DAA099C517044D...
Sarah J. Braganini, as Trustee of the Sarah J. Braganini Trust

Apollo Braganini II, as Trustee of the Apollo Braganini II Trust